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Citizenship: China

ACADEMIC POSITION

School of Economics, JINAN UNIVERSITY
Lecturer

Guangzhou, China
Sep 2025 – Present

Lingnan College, SUN YAT-SEN UNIVERSITY
Assistant Professor

Guangzhou, China
Nov 2021 – Nov 2024

EDUCATION

Department of Economics, THE CHINESE UNIVERSITY OF HONG KONG
PhD in Economics

Hong Kong, China
Sep 2015 – Aug 2021

Department of Economics, THE CHINESE UNIVERSITY OF HONG KONG
MPhil in Economics

Hong Kong, China
Aug 2013 – Aug 2015

Lingnan College, SUN YAT-SEN UNIVERSITY
Bachelor in Economics

Guangzhou, China
Sep 2009 – Jun 2013

RESEARCH FIELDS

Macroeconomics, Chinese Economy, Economic Growth, Structural Transformation, Commercial System Reform

ENGLISH PUBLICATIONS

Xilu Chen and Kaiming Guo* (2026). The Effects of Sectoral TFP on China's Structural Transformation and Growth. *China Economic Review*, 97: 102696.

Xilu Chen, Erqi Ge*, Xianxiang Xu, and Quan Zhou (2025). Does Digitalization of Government Activities Improve Business Environment? The Influence of Public Service Standardization. *Economic Analysis and Policy*, 87: 533–560.

Xilu Chen, Guangyu Pei, Zheng Song, and Fabrizio Zilibotti* (2023). Tertiarization like China. *Annual Review of Economics*, 15: 485–512.

Wei Chen, **Xilu Chen**, Chang-Tai Hsieh, and Zheng Song* (2019). A Forensic Examination of China's National Accounts. *Brookings Papers on Economic Activity*, Spring: 77–127.

CHINESE PUBLICATIONS

Xianxiang Xu, Yuelin Li, and **Xilu Chen*** (2026). The Transmission Mechanism of Reform Implementation: A Firm-Level Perception Perspective. *The Journal of World Economy* 《世界经济》, 49(6): 61–91.

Xianxiang Xu, Yuelin Li, and **Xilu Chen*** (2025). The Determinants of Business Environment: From the Perspective of Government Service Capacity. *China Economic Quarterly* 《经济学 (季刊)》, 25(2): 496–511.

Xianxiang Xu, Quan Zhou, Erqi Ge*, and **Xilu Chen** (2024). The U-Shaped Impact of Digital Government Development on Income Inequality: Global Evidence. *Economic Theory and Business Management* 《经济理论与经济管理》, 44(7): 50–71.

Quan Zhou, Erqi Ge*, **Xilu Chen**, and Xianxiang Xu (2023). Digital Government Leads to Economic Development: Mechanism and Evidence. *Journal of Quantitative & Technological Economics* 《数量经济技术经济研究》, 40(12): 50–68.

Yimeng Zhu, Qingmiao Bi, Xianxiang Xu*, and **Xilu Chen** (2022). Commercial System Reform and Structural Transformation: A Micro Perspective Analysis. *Economic Research Journal* 《经济研究》, 57(1): 189–208.

Qingmiao Bi, **Xilu Chen**, Xianxiang Xu*, and Shujuan Li (2018). Administrative Approval Reform and Firm Entry. *Economic Research Journal* 《经济研究》, 53(2): 140–155.

Xilu Chen (2018). The Localization of Job Finding by University Graduates in China: A Macro Perspective. *Journal of Sun Yat-sen University (Social Science Edition)* 《中山大学学报 (社会科学版)》, 58(4): 196–208.

WORKING PAPER

A Quantitative Assessment of Resource Allocation Efficiency in China: 2003–2022 (with Guangyu Pei and Zheng Song).

A Dual Accounting for the Rise of Service Sectors in China (with Guangyu Pei and Zheng Song).

RESEARCH GRANTS AWARDED

Young Scientists Fund of the Natural Science Foundation of China (Grant No. 72303255) Jan 2024 – Dec 2026

Fellowship of China Postdoctoral Science Foundation (Grant No. 2022M713646) Sep 2022 – Nov 2024

TEACHING EXPERIENCE

Intermediate Macroeconomics (in English), Undergraduate

Course evaluation in 2024 Spring: Ranked in the top 7% of the university and top 2% of the college

Basic Macroeconomics (in Chinese), Undergraduate

Course evaluation in 2024 Spring: Ranked in the top 42% of the university and top 33% of the college

Economic Growth and Structural Transformation, PhD

REFERENCES

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WORKING PAPER ABSTRACTS

A Quantitative Assessment of Resource Allocation Efficiency in China: 2003–2022 (with Guangyu Pei and Zheng Song).

Abstract. China's productivity growth has slowed over the past 15 years, a period during which structural transformation has accelerated. The varying pace and nature of this shift across provinces raise questions of how resource allocation—both sectoral and regional—shapes aggregate productivity dynamics. To explore this issue, this paper first compiles a province-sector dataset spanning 2003–22, based on official statistics with key adjustments to ensure internal consistency. We then apply the standard accounting framework to estimate marginal products for each province-sector. Our findings reveal a substantial decline in the dispersion of marginal products across provinces and sectors, indicating improved resource allocation efficiency. Significant declines are also observed in the within-province dispersion of marginal products across sectors and the cross-province dispersion of marginal products in services, whereas the secondary industry exhibits the opposite trend. Finally, we construct a model incorporating non-homothetic preferences, CES aggregators of sectoral inputs, and inter-regional trade to quantitatively evaluate the implications of these changes for resource allocation efficiency. Changes in the dispersion of marginal products have played a significant role in driving aggregate TFP growth in the past. Addressing current allocation inefficiencies holds the potential to substantially enhance aggregate TFP growth in the future.

A Dual Accounting for the Rise of Service Sectors in China (with Guangyu Pei and Zheng Song).

Abstract. China has been experiencing a rapid expansion of the service sector since the mid-2000s. This paper uses a dual accounting approach to investigate the underlying forces for the structural change across sectors and regions. We first use development accounting to back out region-sector TFP growth from regional and sectoral employment shares. We then use “the direct method” that aggregates Hsieh-Klenow statistics to the region-sector level and apply it to a large-scale firm data set. Development accounting and the direct method will deliver the same estimates if the sectoral demand structure is correctly specified for development accounting. We find three main results. First, both development accounting and the direct method reveal fast manufacturing and producer

services TFP growth. The sectoral TFP growth estimated by the two methods is also highly correlated, in line with the internal consistency of the dual accounting approach. Second, we decompose sectoral TFP growth by the direct method into efficient sectoral TFP growth, changes in sectoral wedge and changes in within-industry misallocation. We find the manufacturing and producer services TFP growth to be primarily driven by efficient TFP growth but substantially slowed by the worsening of misallocation. Third, we infer misallocation from the dual accounting approach, which turns out to be highly correlated with the directly measured misallocation. The strong correlation not only reinforces the deteriorating misallocation by the direct method but also provides another validity check for our dual accounting approach. Holding within-industry misallocation constant would increase China's service employment share by 26 percentage points.